

China: Both industrial profits and revenue increased in June

Bottom line:

China's industrial profits increased by 18.3% yoy, and revenue rose by 11.4% yoy in June (vs. +21.0% yoy and +6.7% yoy, respectively, in May). In seasonally adjusted sequential terms, industrial profits increased by 1.5% (vs. -8.4% in May), and revenue grew by 3.1% sa non-annualized (vs. +0.6% in May).

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Key numbers:

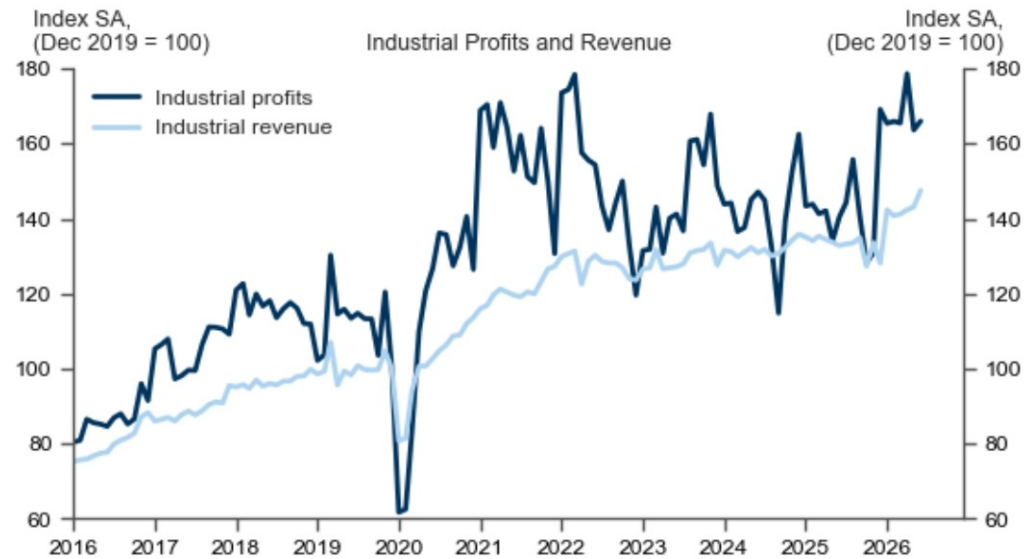
Industrial profits: +18.3% yoy in June (sequential growth: +1.5% non-annualized, seasonally adjusted by GS); May: +21.0% yoy (sequential growth: -8.4% sa non-annualized).

Industrial revenue: +11.4% yoy in June (sequential growth: +3.1% non-annualized, seasonally adjusted by GS); May: +6.7% yoy (sequential growth: +0.6% sa non-annualized).

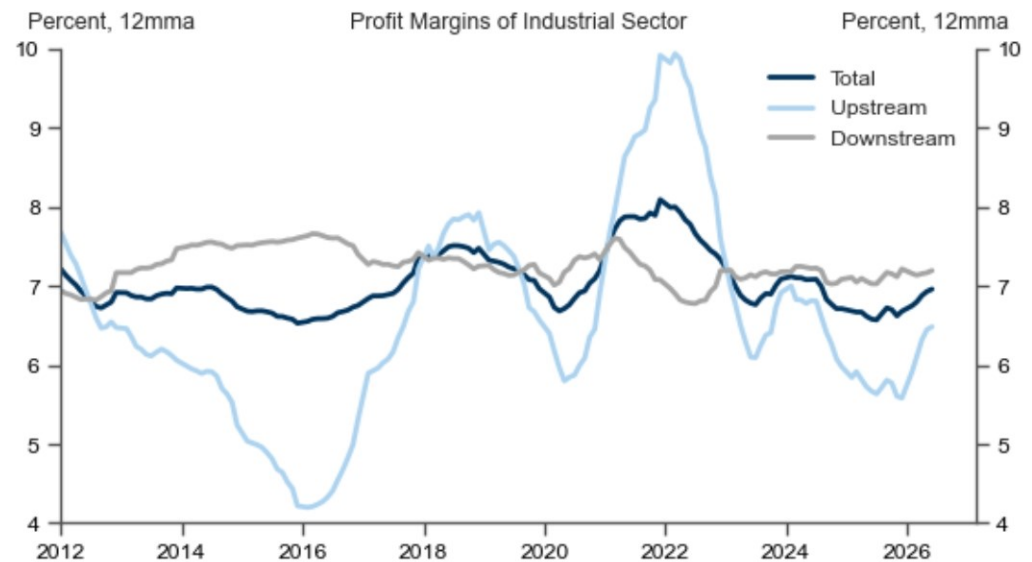
Main points:

1. In year-over-year terms, China's industrial profits increased by 18.3% yoy in June, compared to 21.0% yoy in May. In sequential terms, profits increased by 1.5% non-annualized in June after seasonal adjustment, following a decline of 8.4% in May ([Exhibit 1](#)).
2. On a year-over-year basis, downstream profits rose 16.2% in June, accelerating from 10.2% in May. By contrast, upstream profit growth slowed sharply to 24.5% yoy, from 58.3% in May, with the drag mainly coming from chemical materials, petroleum, and natural gas extraction. The NBS [commented](#) that raw materials manufacturing sector contributed 8.8pp to the 18.7% industrial profit growth in H1, followed by electronics sector at 8.5pp.
3. In year-over-year terms, industrial revenue increased by 11.4% yoy in June, vs. +6.7% yoy in May. Sequentially, revenue increased by 3.1% non-annualized in June (vs. +0.6% in May). Overall profit margins (total profits divided by revenues) edged up in June on a 12-month average basis ([Exhibit 2](#)), driven by improving profit margins in both upstream and downstream sectors.

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Exhibit 1: Industrial profits and revenue increased sequentially in June

Source: NBS, Goldman Sachs Global Investment Research

Exhibit 2: Total profit margins continued to edge up in June on a 12-month average basis

Source: NBS, CEIC, Goldman Sachs Global Investment Research

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